

large, integrated oil company, instead of happening only sporadically as in other lines. Abandoned leases come under this general heading, and the loss thereon should be charged to earnings.

4. *Depletion of Oil Reserves.* The proper *theoretical* principle here is that the analyst should allow for depletion on the basis at which the oil reserves are valued in the market. This point, as applied to amortization generally, will be discussed in the next chapter. It implies, as we shall see, that what may be the correct *accounting* basis for computing depletion may not be the most suitable basis for the analysis of investment values.

Unfortunately, business practice in the oil industry has been such as to make the sound application of this principle exceedingly difficult. The oil-producing part of the industry has apparently accounted for most of the profits; the refining and marketing divisions have earned little, if anything, on their investment. If *earnings* were the criterion of value here, most of the market price of a typical oil stock would be ascribable to the producing division, and on this basis a comparatively high depletion charge against each barrel taken out would be called for. On the other hand, if the division were made in proportion to *book values*, the refining and marketing sections would loom large, the oil reserves would have a much smaller value, and the depletion charge would be proportionately smaller.

We do not see any really satisfactory answer to the dilemma that we have posed—for it seems to us that the partition of earning power in the industry between production and the other branches is an essentially artificial one and cannot be viewed as permanent. We therefore are led to suggest the following *practical compromise* with the problem:

1. In the case of *integrated* oil companies, accept the company's depletion figure as the best available. (This includes acceptance of the "overall" basis, if used, since this method would seem to reflect the facts fairly.) However, any charges for depletion made against an "appreciation" account in the balance sheet should be deducted from income.

2. In the case of companies that are solely oil producers, or virtually so, the analyst can compute *what the market is paying* for the total developed oil reserves (if an estimate of these is published). Hence he can make his own depletion calculation, for the particular purpose of his analysis, in such an instance in the same manner as in the case of a mining proposition. (For a calculation of this kind applied to Texas Gulf Producing Company see Chap. 36.)